Nova Orbital Technologies, Inc.

Annual Report and Financial Statements — Fiscal Year 2025

Company Overview

Nova Orbital Technologies, Inc. ("Nova Orbital" or "the Company") designs, manufactures, and launches small-satellite communication systems for commercial and government customers. Headquartered in Austin, Texas, the Company operates two segments: Satellite Systems and Ground Infrastructure. This report presents the Company's audited consolidated financial statements for the fiscal year ended December 31, 2025, together with management's discussion of financial condition and results of operations.

Fiscal Year 2025 Highlights

Metric	FY2025	FY2024	Change
Total Revenue	$412.6M	$358.2M	+15.2%
Gross Profit	$168.9M	$154.0M	+9.7%
Net Profit	$31.4M	$42.8M	-26.6%
Diluted EPS	$0.87	$1.19	-26.9%
Operating Cash Flow	$46.2M	$71.5M	-35.4%
Total Debt	$210.3M	$142.7M	+47.4%

Letter to Shareholders

Fiscal 2025 was a year of continued top-line growth for Nova Orbital, with total revenue increasing 15.2% year-over-year to $412.6 million, driven primarily by higher unit volumes in our Satellite Systems segment and the launch of our next-generation Ku-band terminal. However, net profit declined 26.6% to $31.4 million, reflecting increased interest expense, higher component costs, and a one-time charge related to the wind-down of our legacy ground station product line. The Board and management team remain focused on restoring margin performance in fiscal 2026 while continuing to invest in next-generation satellite payload technology.

Consolidated Statement of Operations

For the fiscal years ended December 31, 2025 and 2024 (in thousands, except per-share data)

	FY2025	FY2024
Revenue	$412,600	$358,200
Cost of revenue	$243,700	$204,200
Gross profit	$168,900	$154,000
Research and development	$58,400	$47,900
Selling, general and administrative	$52,100	$44,300
Restructuring charges	$9,800	$0
Operating income	$48,600	$61,800
Interest expense, net	$14,200	$6,100
Income before income taxes	$34,400	$55,700
Provision for income taxes	$3,000	$12,900
Net income	$31,400	$42,800
Basic earnings per share	$0.91	$1.24
Diluted earnings per share	$0.87	$1.19
Weighted average diluted shares outstanding	36,092	35,966

Segment Revenue

Segment	FY2025	FY2024
Satellite Systems	$298,100	$246,500
Ground Infrastructure	$114,500	$111,700
Total Revenue	$412,600	$358,200

Consolidated Balance Sheet

As of December 31, 2025 and 2024 (in thousands)

	FY2025	FY2024
Cash and cash equivalents	$62,300	$88,100
Accounts receivable, net	$71,400	$58,900
Inventory	$54,200	$41,600
Total current assets	$187,900	$188,600
Property, plant and equipment, net	$210,800	$186,300
Goodwill and intangible assets	$95,400	$97,100
Total assets	$494,100	$472,000
Accounts payable	$48,600	$39,200
Current portion of long-term debt	$22,000	$14,500
Total current liabilities	$70,600	$53,700
Long-term debt	$188,300	$128,200
Total liabilities	$258,900	$181,900
Total stockholders' equity	$235,200	$290,100
Total liabilities and stockholders' equity	$494,100	$472,000

Consolidated Statement of Cash Flows (Summary)

	FY2025	FY2024
Net cash provided by operating activities	$46,200	$71,500
Net cash used in investing activities	($58,900)	($39,200)
Net cash provided by (used in) financing activities	($13,100)	$18,400
Net increase (decrease) in cash	($25,800)	$50,700

Management's Discussion and Analysis

Total debt increased 47.4% year-over-year to $210.3 million as the Company drew on its revolving credit facility to fund capital expenditures related to the expansion of its satellite manufacturing facility in Austin, Texas, and to fund the restructuring of its legacy ground station product line. Interest expense, net increased to $14.2 million from $6.1 million in the prior year, reflecting both the higher debt balance and a higher average interest rate on the Company's variable-rate credit facility.

Gross margin declined to 40.9% in fiscal 2025 from 43.0% in fiscal 2024, driven by higher input costs for radiation-hardened semiconductor components and unfavorable product mix within the Satellite Systems segment. Operating cash flow declined 35.4% to $46.2 million, primarily due to an increase in accounts receivable and inventory build ahead of the Company's Q1 2026 product launch.

Risk Factors

The Company's revolving credit facility contains financial covenants, including a maximum leverage ratio, that become more restrictive if EBITDA does not improve in fiscal 2026. Continued increases in the Company's debt balance, combined with a decline in operating cash flow, could reduce the Company's covenant headroom and increase refinancing risk. Additionally, the Company remains dependent on a single supplier for radiation-hardened processors used in its satellite payloads; a disruption at this supplier could materially affect production schedules.

Report of Independent Registered Public Accounting Firm (Excerpt)

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of Nova Orbital Technologies, Inc. as of December 31, 2025. We draw attention to Note 14 to the financial statements, which describes the Company's reliance on a revolving credit facility subject to financial covenants. Our opinion is not modified with respect to this matter, however management should continue to monitor covenant compliance given the year-over-year increase in leverage.